

Organization already had in place a Business Continuity Plan that addressed the threat of significant disruption to critical functions, and was quickly able to adjust to these unprecedented circumstances. During the initial phase of the crisis, staff were provided laptops and other equipment to permit them to connect to WIPO systems safely from remote locations. WIPO services, including fee-based and support services, rapidly attained near-optimal capacity. With the gradual decline of infection rates in the Geneva region, and the scaling back of lockdown measures by the Host Government, WIPO initiated a carefully planned and phased return-to-premises program in June 2020. However, in October 2020 the epidemiological situation in Geneva rapidly deteriorated as the second wave of the COVID-19 pandemic gripped most of the world. This culminated in the Host Government issuing a new series of recommendations, including for employers to implement remote working as much as possible. As of November 2, 2020, all WIPO personnel, except those required to be on-site, resumed remote working.

The Organization monitored its directly related COVID-19 expenditure during 2020, which totaled approximately 3.6 million Swiss francs. This concerned principally expenditure on IT equipment and IT services to meet remote working and virtual or hybrid meeting requirements. Other expenditure considered directly related to the impacts of COVID-19 on the Organization's operations included cleaning and disinfection products, furniture and equipment for new layout requirements, purchase of medical supplies, additional medical staff, and lunch allowances. Travel bans and restrictions during 2020 had a significant impact on WIPO's activities involving traditional, in-person implementation modalities, especially in the areas of capacity building and support services. This required the Organization to adapt its delivery methods in order to respond to the constraints caused by the pandemic. In financial terms, the cost of missions for staff and consultants fell from 5.7 million Swiss francs in 2019, to 0.5 million Swiss francs in 2020. Official meetings and conferences moved to hybrid and virtual modes during the year. The Organization's third party travel costs, including participants and lecturers, fell from 10.5 million Swiss francs in 2019 to 0.5 million Swiss francs in 2020.

WIPO's revenue from fees charged for applications under the PCT, Madrid and Hague systems is recognized at the date of publication of the application, in accordance with the requirements of IPSAS. As publication takes place some time after the filing of an application, revenue levels from these systems do not necessarily provide an immediate indication of the impact of the COVID-19 pandemic for the Organization. Looking more specifically at filings of applications in 2020, overall demand for WIPO's fee-based services under its intellectual property systems remained strong considering the unprecedented circumstances. Revenue from the PCT system, based on publications of PCT applications in the year, was 6.1 per cent higher than in 2019, totaling 358.6 million Swiss francs. PCT application filings also grew in 2020, reaching an estimated 275,900 applications, a record figure and a 4.0 per cent increase on the 2019 number of 265,381. Revenue from the Madrid system, again recognized at the date of publication of the application, fell by 0.8 per cent compared to 2019, totaling 76.2 million Swiss francs. Use of the Madrid system also slightly decreased in 2020. International trademark applications totaled an estimated 63,800, down by 0.6 per cent on the 2019 number of 64,168, representing the first decline since the global financial crisis of 2008-2009. This was expected, given that trademarks tend to represent the introduction of new goods and services, both of which slowed as a result of the global pandemic. The economic fallout from the pandemic also hit demand for the protection of industrial designs via the Hague system. Applications fell by 1.7 per cent, and designs in those applications dropped by 15.0 per cent. Revenue from the Hague system in 2020 actually increased from 5.3 million Swiss francs in 2019 to 6.7 million Swiss francs as registration publication volumes increased over the year. The reduced demand for the Hague system seen in 2020 may be expected to impact revenue in 2021.

Concerning the Organization's assets, as at each year end and in accordance with the requirements of IPSAS, WIPO performed its annual impairment reviews to ensure that assets were recorded at an appropriate value in the financial statements. This exercise did not indicate any impairment attributable to the impacts of the COVID-19 pandemic. The review of financial instruments including accounts receivable, revealed no impact on payment patterns that would require recognition of credit loss. Although the Organization's buildings were utilized to a much lower extent in 2020 than in 2019, no impairment was considered necessary for these long-term assets. For the Organization's liabilities, the most noticeable consequence of the pandemic was an increase of 5.8 million Swiss francs in the accumulated annual leave liability, largely due to the impact of staff not taking their planned leave entitlements in 2020 as a result of travel limitations. Due to these limitations, as an exceptional measure for 2020, the Organization increased the maximum annual accrual and carry-forward balance for annual leave.

At the end of 2020, the Organization achieved investment gains of 33.4 million Swiss francs. Global financial markets reacted strongly to the onset of the COVID-19 pandemic in February and March 2020. Volatility increased while asset prices witnessed one of the worst and most rapid drawdowns in history. The recovery was equally quick, following the swift and substantial response to the crisis from governments and monetary authorities. Markets had mostly normalized when the potential rollout of a vaccine in 2021 was announced in November 2020, which ignited a strong rally in asset prices. Most investment categories ended the year with positive returns and WIPO portfolio returns significantly exceeded their long term targets. It is important to note that WIPO's investment strategy for its core cash and strategic cash portfolios is based on long-term fundamentals and is designed to resist periods of financial turbulence.